

IPO booms can spell trouble for the markets

WHEN YOU suck on a TastySounds lollipop, something funny happens in your head. As well as the flavour on your tongue, you hear music in your ear. Vibrations travel up your jawbone, creating the sensation of sound only you can hear. The result is disorientating. The primary sense is of sweetness. The secondary sense is a burst of inner music.

Something similar is going on in Hong Kong's stock market, where Amos Food, the maker of TastySounds lollipops and other sweets, plans one day to list. The "primary" market for initial public offerings (IPOs) is performing sweetly. But in the secondary market, where existing shares are traded, the music has fallen flat. The Hang Seng index of the Chinese territory's big firms has dropped by about 1% this year, the fifth-worst performance of all major exchanges tracked by The Economist. Hong Kong's predicament also serves as a warning sign for America, which is enjoying an IPO surge of its own. Amos is in a long queue of companies waiting to list in Hong Kong. The exchange is encouraging them by extending the window for firms to complete their paperwork and allowing them to file it in secret. In the first seven months of 2026 it hosted 104 IPOs, which together raised about \$42bn. It offered a refuge to Shein, a pedlar of superfast-fashion which debuted on August 31st, after geopolitical concerns deterred the company from listing in New York or London. The sum is more than double the haul from the same months of 2025, itself a bumper year in which Hong Kong debuts raised more money than any other exchange.

If markets for stocks were like ordinary ones for cars or other goods, Hong Kong's would be unquestionably booming. If motorists were snapping up lots of new vehicles at healthy prices, no one would worry that prices for used rides were flat or falling. But with equities, the market for "second-hand" securities overshadows that for newly minted shares. Hence Hong Kong's conflicting sensations: zingy and downbeat all at once.

Some of the dissonance is caused by unique Chinese characteristics. Mainland regulators have become stricter about share offerings on the Shanghai or Shenzhen exchanges. In response, some Chinese companies have turned to Hong Kong instead, even if conditions are not otherwise inviting. America's increased hostility to its superpower rival has also persuaded a number of Chinese companies on American bourses to seek secondary listings in Hong Kong. Their arrival has perhaps crowded out investor demand for other shares. Like someone who has gorged on too much confectionery, Hong Kong's market is suffering from indigestion.

It also echoes a familiar tune. A study of American markets from 1928 to 1997 by Malcolm Baker of Harvard University and Jeffrey Wurgler, then of Yale, finds that firms issue more equity just before periods of low market returns. Another paper from 2005 by Lubos Pastor and Pietro Veronesi of the University of Chicago similarly finds that IPO waves follow good times and precede bad times.

In keeping with this score, Hong Kong's IPO boom began amid a dramatic stock-market rally: the Hang Seng rose by over 40% in the year after China's government announced fresh monetary stimulus in September 2024. The index's subsequent performance is jarring only in that the low returns have arrived before the IPO wave is over.

Some scholars think the phenomenon reflects markets' irrationality. Owners sell shares when they know the market is overvalued and outside investors do not. But Mr Pastor and Mr Veronesi have a different explanation. The decision to go public is made under uncertainty—corporate insiders do not know anything the market doesn't about future conditions—and hard to reverse. Since markets always fluctuate, it makes sense not to list when times are bad, in the hope that conditions will improve. Waiting thus carries what economists call an "option value". As a consequence, many firms list after valuations improve, but long before valuations peak.

What does this mean for Hong Kong investors? Though the secondary market as a whole is struggling, the debutantes have

mostly done well at least in their first days of trading (even shares in the ill-starred Shein ended their opening day roughly flat). Those lucky enough to get an allocation of shares in an upcoming IPO can, then, look forward to three sensations: a tingle on the tongue, a jingle in the ear, and the clink of money in their pocket.

Subscribers to The Economist can sign up to our Opinion newsletter, which brings together the best of our leaders, columns, guest essays and reader correspondence.

:	Initial public offerings; Investments; Investors; Securities markets; Secondary markets
:	主題 : Initial public offerings Securities markets Secondary markets
:	China; Hong Kong China
:	IPO booms can spell trouble for the markets
:	The Economist (Online); London
:	2026
:	Sep 1, 2026
:	Finance & economics
:	The Economist Intelligence Unit N.A., Incorporated
:	London
/:	United Kingdom
:	Business And Economics
e-ISSN:	29784360
:	雜誌
:	English
:	News
ProQuest :	3380733671
URL:	https://erm.library.ntpu.edu.tw/login?url=https://www.proquest.com/magazines/ipo-booms-can-spell-trouble-markets/docview/3380733671/se-2?accountid=8008
:	Copyright The Economist Intelligence Unit N.A., Incorporated 2026
:	2026-09-03
:	ABI/INFORM Collection; ProQuest Central Premium; Research Library

© 2026 ProQuest LLC

[ProQuest](#)